

2. *Homo economicus* allows economists to quantify their findings, making their work more elegant and easier to digest. If humans are perfectly rational, possessing perfect information and perfect self-interest, then perhaps their behavior can be quantified.

Most criticisms of *Homo economicus* proceed by challenging the bases for these three underlying assumptions—perfect rationality, perfect self-interest, and perfect information.

1. *Perfect rationality.* When humans are rational, they have the ability to reason and to make beneficial judgments. However, rationality is not the sole driver of human behavior. In fact, it may not even be the primary driver, as many psychologists believe that the human intellect is actually subservient to human emotion. They contend, therefore, that human behavior is less the product of logic than of subjective impulses, such as fear, love, hate, pleasure, and pain. Humans use their intellect only to achieve or to avoid these emotional outcomes.
2. *Perfect self-interest.* Many studies have shown that people are not perfectly self-interested. If they were, philanthropy would not exist. Religions prizing selflessness, sacrifice, and kindness to strangers would also be unlikely to prevail as they have over centuries. Perfect self-interest would preclude people from performing such unselfish deeds as volunteering, helping the needy, or serving in the military. It would also rule out self-destructive behavior, such as suicide, alcoholism, and substance abuse.
3. *Perfect information.* Some people may possess perfect or near-perfect information on certain subjects; a doctor or a dentist, one would hope, is impeccably versed in his or her field. It is impossible, however, for every person to enjoy perfect knowledge of every subject. In the world of investing, there is nearly an infinite amount to know and learn; and even the most successful investors don't master all disciplines.

Many economic decisions are made in the absence of perfect information. For instance, some economic theories assume that people adjust their buying habits based on the Federal Reserve's monetary policy. Naturally, some people know exactly where to find the Fed data, how to interpret it, and how to apply it; but many people don't know or care who or what the Federal Reserve is. Considering that this inefficiency affects millions of people, the idea that all financial actors possess perfect information becomes implausible.

Again, as with market efficiency, human rationality rarely manifests in black or white absolutes. It is better modeled across a spectrum of gray.